

**Before the
Federal Maritime Commission**

Docket No. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE LTD. AND OOCL (EUROPE) LTD.,

Respondents and Third-Party Complainants,

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,

Third-Party Respondent.

**OOCL'S OPPOSITION TO SAMSUNG ELECTRONICS COMPANY, LTD.
MOTION TO DISMISS AMENDED THIRD-PARTY COMPLAINT**

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Third-Party Complainants Orient Overseas Container Line Ltd. and OOCL (Europe) Ltd. (collectively, “OOCL”), by their undersigned attorneys, respectfully submit this response to the motion (“Motion”) of Samsung Electronics Company, Ltd. (“SEC”), to dismiss OOCL’s Amended Third-Party Complaint (“ATPC”).

INTRODUCTION

The essence of OOCL’s Amended Third-Party Complaint against SEC, along with OOCL’s Counterclaim against SEC affiliate Samsung Electronics America, Inc. (“SEA”) is that the two entities decided to improve their bottom lines by obtaining transportation rates and charges from OOCL that were well below those otherwise available, through a scheme of deception and concealment.¹ SEC was the ringleader of this scheme (and that against COSCO referenced in footnote 1), while SEA acted as SEC’s foot soldier, following SEA’s directions regarding how to implement the scheme. Both SEC and SEA promised in writing to bear certain charges that might be incurred by SEC/SEA and their agents in connection with the transportation of their cargo, in exchange for lower rates and charges, even though SEC and SEA did not plan to honor that obligation. In this respect, the case here is much like *Tropical Shipping & Construction Co., Ltd. v. Valley Wide Produce, Inc.*, FMC Dkt. No. 93-05, 1993 WL 285897 (ALJ Default Judgment, July 20, 1993), where the Presiding Officer concluded that the shipper violated 46 U.S.C. § 41102(a)(1) by signing a credit agreement in order to obtain better terms and conditions from the ocean carrier and then dishonoring its agreement.

STATEMENT OF FACTS²

For the period from 2021 to 2022, SEC twice solicited OOCL to submit bids for transportation

¹ A larger group of Samsung entities led by SEC likewise conspired against another ocean common carrier – COSCO Container Lines Co., Ltd. *See Samsung Electronics America, Inc. v. COSCO Shipping Lines Co., Ltd.*, FMC Docket No. 24-16, 2025 WL 2599714 (F.M.C. Apr. 30, 2025).

² In evaluating the ATPC, the Presiding Officer must assume all facts alleged in the TPC to be true and must view them in a light most favorable to OOCL. *See Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, FMC Dkt No. 99-24, 28 S.R.R. 1351, 1365 (ALJ 2000).

of SEC's cargoes from Asia to the United States. In connection therewith, SEC issued documents respectively entitled 2021 RFQ for Ocean Freight and 2022 RFQ for Ocean Freight (collectively, the "SEC RFQs" or "RFQs"), which set forth the mandatory terms and conditions that bidding carriers, including OOCL, were required to meet in order to be considered for an award of SEC business. Each of the RFQs required that responding carriers offer five demurrage-free days and twenty detention-free days at destination for North American shipments and expressly provided that "storage [be] acceptable only when it's directly billed from Port Authority/Rail company." The RFQs also required that bidding carriers pay SEC's preferred truckers, referred to as "Customer Nominated Truckers" or "CNTs" for local delivery and stated that "carriers are required to provide local delivery service with consignee's preferred trucker if any. (CNT = Customer Nominated Trucker)." ¶¶ 12-15.

Following SEC's acceptance of OOCL's bids, SEC and OOCL executed and OOCL filed with the Federal Maritime Commission the governing service contracts for the 2021 and 2022 contract years (the "Service Contracts"), in accordance with 46 C.F.R. § 530.8. Each Service Contract expressly provided that it was governed by United States law and the Shipping Act of 1984, as amended. The signature blocks of the Service Contracts each read that the contract was made between OOCL and "Samsung Electronics Company, Ltd. (hereinafter called "Shipper") and *all* members or *affiliates* named in Appendix B." The Appendix B list of "affiliates" on behalf of which SEC signed included SEA, which was thereby made a party to the Service Contracts. SEC represented and warranted that each of the listed affiliates was an entity controlled by SEC and that the person executing the Service Contracts had authority to enter into them on behalf of both SEC and its affiliates, again including SEA.³ Likewise, Paragraph 2 of the Service Contracts stated that the

³ SEA has suggested that SEC did not have authority to sign on behalf of SEA. Although it appears beyond peradventure that SEC had at least apparent authority to bind SEA, if the facts in discovery show otherwise, that would simply demonstrate another act of fraud by SEC. OOCL would never have allowed SEA to be the invoiced parties for landside costs if it was not bound by SEC to the contract, in which case this whole dispute would have been avoided.

contracts were binding upon SEC and its affiliates listed in Appendix B, including SEA. Paragraph 16 of each contract further provided that Samsung, SEA, and other listed affiliates were jointly and severally liable for performance of all terms and conditions, including payment of all rates and charges. ¶¶ 16-23. Thus, no matter that SEC may have designated SEA as the entity to which OOCL should send invoices, SEC, as the Shipper Party to the Service Contract, remained primarily responsible for the payments.

The Service Contracts also provided that all cargo moving thereunder was subject to the tariffs identified in Appendix A, which incorporated by reference OOCL's governing Tariff Rule OOLL-100. Tariff Rule OOLL-100, Rule T-26, published January 2, 2020, and effective February 1, 2020, addressed the use of Customer Nominated Truckers by SEC/SEA. It stated that when a CNT was used for store-door delivery at the SEC/SEA's request, OOCL would act solely as SEC/SEA's agent for arranging the trucking; the contract of carriage for inland transportation would be between the trucker and SEC/SEA; and the CNT would be employed by SEC/SEA, not OOCL, even if OOCL's rate included door delivery. OOCL was to pay the CNT for normal drayage only as agent for SEC/SEA, and any additional charges, such as delay fees, were to be paid by SEC/SEA unless the delay was OOCL's fault. ¶¶ 24-27.

In reliance on SEC/SEA's representations that it accepted these terms, specifically including SEC/SEA responsibility for delay fees, OOCL agreed to provide ocean and inland transportation at rates and on terms favorable to SEC and SEA, including reduced freight rates, extended free time, and rates for store-door delivery, all of which OOCL would not have offered had SEC/SEA not expressly accepted responsibility for detention, demurrage, rail storage, and related charges incurred by SEC, SEA, or their CNTs. SEC/SEA clearly knew, or certainly should have known, from the Service Contracts, tariffs, and bills of lading that SEC as shipper and SEA as consignee were responsible for detention, demurrage, and similar charges unless those charges were directly caused by OOCL.

Nevertheless, SEC/SEA concealed during negotiation, execution, and performance that it did not in fact intend to accept such responsibility. OOCL relied on Samsung's representations and was induced to enter into Service Contracts providing rates and terms materially more favorable than those otherwise available to the shipping public. OOCL would not have executed those contracts had SEC/SEA disclosed its true position. ¶¶ 28-32, 44-47.

The shipments carried under the Service Contracts moved from ports in Asia to various ports and inland points in North America under bills of lading showing SEA as consignee. The bills of lading called for "store-door" delivery, which required inland carriage by rail and/or truck to a consignee-designated address. OOCL's freight rates covered both the ocean transportation and inland drayage under those store-door terms, subject to the contractual provisions and tariffs. Consistent with the RFQs and contracts, OOCL assigned inland deliveries to CNTs designated and controlled by SEC/SEA.⁴ For such shipments, OOCL did not agree to be responsible for demurrage, detention, rail storage, or any other costs incurred by the CNTs hired by SEC/SEA, other than chassis rental during free time. OOCL contracted with the CNTs selected by SEC/SEA solely as agent for SEC/SEA, and the drayage contracts themselves were between the CNTs and SEC/SEA, not between the CNTs and OOCL. ¶¶ 33-40.

OOCL's published tariffs set forth the rules governing demurrage, detention, and equipment free time at U.S. destinations, providing that daily charges would accrue for cargo left at the marine terminal or equipment retained beyond the allowed period. During negotiation and throughout performance, SEC/SEA were aware that they bore responsibility for such charges under the Service Contracts, tariffs, and bills of lading. This is shown by SEC/SEA's multiple attempts to avoid the accumulation of detention/demurrage charges, which make sense only if they knew they were

⁴ Among other things, SEA directed CNTs through prioritizing cargo, providing customer-specific instructions for delivery of cargo, and relied on CNTs for updates and reporting related to cargo status and availability at port and inland locations.

responsible for such charges. They never advised OOCL of any disagreement with those provisions. The allocation of responsibility for delay-related charges was an essential part of the consideration for OOCL's favorable rates; OOCL agreed to provide below-market pricing only because SEC/SEA accepted responsibility for charges caused by itself, SEA, or their CNTs. ¶¶ 41-47.

Throughout the term of the Service Contracts, OOCL issued to SEA, and through SEA to SEC, open per-diem invoice statements, account summaries, and other communications identifying outstanding demurrage and detention charges that had accrued in the United States. SEC and SEA were fully aware of OOCL's formal demurrage and detention dispute process, which FMC staff verbally confirmed as compliant with the Commission's "best practices." Despite that awareness, neither SEC nor SEA utilized the process to dispute any invoice at the time of assessment. OOCL also observed persistent container mismanagement by SEA (as consignee/agent for SEC), particularly at the Port of New York/New Jersey during the Fall of 2021, where numerous laden containers remained uncollected long after free time expired and even after the 2021 contract year had ended, despite the repeated notifications from OOCL. These failures by SEC/SEA and/or their trucker agents directly caused SEC/SEA to incur significant detention and demurrage charges (directly or through their CNTs), which were lawfully assessed by OOCL. ¶¶ 48-50, 53-54.

On October 7, 2022, after completion of performance under the Service Contracts, SEA sent a letter to OOCL (USA) Inc. titled "Notice of Demand for Action" (the "Demand Letter"). In that letter, SEA asserted that since 2020 it had been "coerced" to pay approximately USD \$11 million in demurrage, detention, handling, and storage fees and demanded an immediate refund of those sums and all similar fees paid in the future. SEA claimed that OOCL was responsible for all such charges solely because the bills of lading governing those shipments indicated they had moved on a "store-door" basis. The Demand Letter failed to identify any bill of lading or container numbers, did not specify the charges challenged, and provided no supporting documentation or explanation as to why

the charges were incorrect. Apart from a single-page PDF summarizing its claim, SEA submitted nothing to substantiate its allegations.⁵ ¶¶ 51-52, 58-59.

OOCL responded that the disputed charges had been incurred because SEC's cargo remained at terminals past expiration of free time while awaiting pickup by SEC/SEA's CNTs, and that OOCL had issued multiple timely notifications of each shipment's arrival, last free day, and accrued demurrage. OOCL also explained that it had issued "long-dwelling" notices to SEC/SEA and to the notify parties listed on the bills of lading, warning that the cargo risked being declared abandoned. SEC/SEA did not respond substantively. Regarding detention SEC/SEA incurred for failing to timely return OOCL's empty containers, OOCL noted that it had received no information from SEC/SEA describing extenuating circumstances—such as appointment unavailability, terminal closures, or other factors outside SEA's control—that might justify mitigation of any specific charges. Although OOCL invited SEC/SEA to submit any documentation shedding light on such conditions so the parties could reach a mutually satisfactory resolution, SEC/SEA did not then or since provide any additional information. SEC/SEA's sole position was that, despite the clear language of the Service Contract/incorporated tariff, OOCL was responsible for all delay-related charges "regardless of fault" because the shipments were under store-door terms. ¶¶ 55-57, 59.

ARGUMENT

I. THE MOTION SHOULD BE DENIED ON PRUDENTIAL GROUNDS

As an initial matter, the Motion could, and should, be denied on prudential grounds. As everyone is painfully aware, the Counterclaim against SEA has already traveled the path from dismissal by the ALJ, without leave to amend, to an appeal to the Commission, which remanded the matter to the Presiding Officer with instructions to allow OOCL at least one opportunity to amend. Grant of the SEC Motion

⁵ SEC quibbles that OOCL's allegations in the ATPC are too general, but that is the clear result of obfuscation by SEC/SEA as to what shipments/charges it is complaining about. Remarkably, we are now far into discovery and SEC/SEA have still not identified what shipments their arguments cover.

without leave to amend would likely cause another trip to the Commission and possibly the Court of Appeals. OOCL believes that it would be highly prejudicial, inappropriate, and inconsistent with due process to litigate the SEA complaint without litigating both the mandatory counterclaim and the Third-Party Complaint at the same time, so premature resolution of the Motion may well cause unnecessary delay.

It is well-established that a motion to dismiss may be denied to allow development of a full record before ruling. See, e.g., *Agreement No. T-3880, as Amended, Pouch Terminal, Inc.*, 14 S.R.R. 1567 (1975) (vacating an ALJ ruling when the parties had not yet had an opportunity to develop an adequate evidentiary record). The Presiding Officer in another proceeding recently explained: “Even if summary judgment is technically proper, sound judicial policy and the proper exercise of judicial discretion permit denial of such a motion for the case to be developed fully at trial.” *OJ Commerce, LLC v. Hamburg Sud*, 2022 WL 19299188, at *120 (ALJ 2022). Accord *Yakov Kobel v. Hapag-Lloyd A.G.*, 2011 WL 7144010, at *2 (ALJ 2011).

Here, sound prudential reasons dictate that the Motion must be deferred for now. Such a deferral would ensure a fulsome trial record of all relevant issues when this proceeding moves forward to the Commission and court of appeals, and it would avoid substantial unfairness to OOCL.

II. THE ATPC ADEQUATELY ALLEGES THAT SEC VIOLATED 46 U.S.C. § 41102(a)(1)

As demonstrated in detail below, SEC rests its motion to dismiss largely on its assertion that claims under 46 U.S.C. 41102(a) should be subjected to heightened pleading requirements similar to Fed. R. Civ. P. 9(b) for fraud claims in federal courts.⁶ But the Commission has expressly held to the contrary that such

⁶ SEC’s claim, aside from being wrong, is also hypocritical. As note above, SEC/SEA have been extremely vague in their claims, not even identifying the specific shipments/charges with which they quarrel.

heightened requirements *do not* apply to claims at the FMC that 46 U.S.C. 41102(a) was violated and such heightened standards are inconsistent with sound administrative practice.⁷ The Presiding Officer lacks authority to overrule the Commission in this proceeding, and any change in the pleading requirements would require a new, notice and comment rulemaking, the results of which could not apply to claims filed before the effective date of the new rulemaking. Because the FMC procedural rules currently in force expressly exclude pleading requirements similar to Rule 9(b), SEC's motion fails because the ATPC plainly states a plausible claim against SEC.

A. A Complaint Stating a Plausible Claim for Relief is not Subject to Dismissal

It is a fundamental principle of the Shipping Act that the Commission is statutorily obligated to hear any claim alleging a Shipping Act violation unless the complaint fails to state a claim.⁸ And the requirements for stating a claim are neither demanding nor rigorous. The Commission applies the notice-pleading equivalent of Fed. R. Civ. P. 8(a), requiring only a short and plain statement showing entitlement to relief. *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007); *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009); *Intermodal Motor Carriers Conference, et al. v. Ocean Carriers Equipment Management Association, Inc. et al.*, FMC Dkt No. 20-14 (“Accepting the allegations in the complaint as true, the complaint is sufficient to plausibly allege that the conduct at issue impacts the receiving, handling, storing, or delivering of property.”), Order Denying Motion to Dismiss, Dkt No. 17.

When evaluating the SEC motion to dismiss, the *Iqbal/Twombly* facial plausibility standard applies. See *Samsung Elec. Am., Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 24-

⁷ It would also be the height of unfairness to subject the complaint and mandatory counterclaim to different pleading standards.

⁸ See, e.g., *Cargo One, Inc. v. COSCO Container Lines, Co.*, FMC Dkt. No. 99-24, 2000 WL 1648961, *13-15 (Oct. 31, 2000); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC Dkt No. 02-04, 30 S.R.R. 991, 998 (FMC 2006); *Waterman S.S. Corp. v. General Foundries Inc.*, FMC Dkt No. 93-15, 1993 WL 13975538 at *5 (Initial Decision, December 9, 1993), partially adopted, 1994 WL 279898 (FMC 1994) (“Congress has given persons such a right to file their complaints before the Federal Maritime Commission and has, furthermore, required the Commission to investigate any such complaint”).

17, 2025 WL 2207363, at *4 (Remand Order, July 30, 2025) (“SEA v. OOCL”). Under that standard, OOCL’s complaint against SEC may not be dismissed if it contains sufficient factual allegations, ***which must be accepted as true***, to “state a claim for relief that is plausible on its face.” *Twombly*, 556 U.S. at 570. A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Iqbal*, 550 U.S. at 663. Accordingly, the Presiding Officer must accept OOCL’s allegations as true, and it must “construe the factual allegations in the complaint in the light most favorable to [OOCL] and must grant [OOCL] the benefit of all inferences that can be derived from the facts as alleged in the complaint.” *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt No. 13-02, 33 S.R.R. 614, 620-621 (2014) (citations omitted).

Moreover, plausibility is not probability; while it demands something more than mere possibility, it requires well less than probability. *Id.* The Commission has repeatedly rejected motions to dismiss or for a more definite statement where the complaint provides fair notice of the claims and factual basis. *See Cargo One*, 2000 WL 1648961, at *3; *Falcone Global Solutions, LLC v. Maurice Ward Networks, Ltd.*, Dkt. No. 18-04, 2018 WL 3655808 (ALJ Denial of Motion for a more definitive statement, July 17, 2018). The FMC pleading procedure is designed for the purpose of giving notice, not detailed facts. 46 C.F.R. 502.62(a)(3)(iii). In *Cargo One*, for example, the ALJ denied dismissal despite sparse details, noting the complaint's description of the scheme provided notice. And in *Falcone*, Chief ALJ Wirth explained:

“The complaint provides fair notice of the claims and the grounds upon which they rest. ‘[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.’ 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ. 3d* § 1215 (2004). *Falcone*'s complaint is not so excessively vague and ambiguous as to be unintelligible.

Judge Wirth also noted that, as here, discovery might be needed to identify the details of that activities at issue. In *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. at 620, the Commission emphasized

liberal pleading to advance the Shipping Act's purposes. And in *Global Transporte Oceanico S.A. v. Coler Ocean Independent Lines Co.*, FMC Dkt. No. 99-14, 1999 WL 1000658 (Initial Decision, October 1, 1999), the ALJ allowed claims to proceed on allegations of violating a promise to pay ocean freight. Here, the ATPC is, if anything, significantly more detailed.

SEC's motion errs by demanding heightened pleading under Fed. R. Civ. P. 9(b), arguing that claims under 46 U.S.C. § 41102(a) (“Section 10(a)(1)”) sound in fraud. But just as a claim under 46 U.S.C. § 41104(a)(10) for failure to provide space under a service contract is not a breach of contract claim, 46 U.S.C. § 41102(a) claims are not fraud claims; they encompass broader unjust practices. *See, e.g., OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co.*, Dkt. No. 21-11, (Admin. Final)(August 27, 2024) 2024 WL 4034610 (F.M.C.) (“The Commission has a duty to consider Shipping Act claims because they are distinct from breach-of-contract claims and entail a different analysis.”); *MCS Industries, Inc. v. MSC Mediterranean Shipping Co. S.A.*, Dkt. No. 21-05, Order Affirming Initial Decision on Remand (FMC July 16, 2024), 2024 WL 3514613 (F.M.C.) (confirming FMC jurisdiction over § 41104(a) claims notwithstanding service contracts); *see also MSC Mediterranean Shipping Co. S.A. v. FMC*, No. 24-1007, D.C. Cir. (June 24, 2025) (“These claims of unjust and unreasonable practices and unreasonable refusal to deal are not actions that can be fully addressed in a suit for breach of contract.”); *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635 (FMC 2000) (FMC must adjudicate alleged Shipping Act violations even when facts overlap with contract disputes; Shipping Act claims are within the Commission’s remit); *Anton v. Greyhound Van Lines, Inc.*, 591 F.2d 103, 107 (1st Cir. 1978) (analogous provision not limited to fraud).

The ATPC meets and exceeds the plausibility standard by alleging specific facts showing, *inter alia*, that SEC was well aware even before it signed the Service Contracts of its obligation thereunder to pay detention and demurrage charges unless the delay was OOCL’s fault; that SEC concealed its

intention not to be bound by this obligation when it signed the Service Contracts and received lower rates than it would have obtained had it been honest; and continued deceiving OOCL throughout most of the terms of the Service Contracts. These facts amply permit, if not compel, the inference that SEC (along with SEA) engaged in an unjust device or means to obtain lower rates. No more is required at this stage. *See Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 182 (2d Cir. 2012) (plausibility allows discovery for details).

B. The Substantive Standards of 46 U.S.C. § 41102(a).

Section 41102(a) provides: “A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” The provision is remedial in nature, so broadly construed to prevent rate evasion through deceptive practices. *See Anton v. Greyhound Van Lines, Inc.*, 591 F.2d 103, 107 (1st Cir. 1978); *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312, 1316 (1st Cir. 1979).

To make out a violation of 46 U.S.C. § 41102(a), a complainant need only show that: (a) a person, (b) knowingly and willfully, (c) by an unjust device or means, (d) obtained or attempted to obtain ocean transportation of property at less than the rates or charges that would be otherwise applicable. *Rose International, Inc. v. Overseas Moving Network International, Ltd.*, FMC Dkt No. 96-05, 29 S.R.R. 119, 158 (2001). *See Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, FMC Dkt No. 99-24, 28 S.R.R. 1351, 1360 (ALJ 2000). As discussed below, the term “unjust or unfair” encompasses deceptive contracting or billing to avoid charges. *See Brokerage on Shipments of Ocean Freight—Max LePack*, 5 F.M.B. 435, 440 (FMB 1958). The Commission looks to intent and effect, not formal fraud. *See Hohenberg Bros. Co. v. Fed. Mar. Comm’n*, 316 F.2d 381, 385 (D.C. Cir. 1963).

In *Max LePack*, the FMC found a violation where a broker knowingly used false cargo

classifications to secure lower ocean freight rates, equating the broker's indifference to legal requirements with an "outright" violation and emphasizing the broad prohibition against "any other unjust or unfair device or means" (5 F.M.B. at 444). Analogously here, SEC's willing acceptance of terms it never intended to honor induced OOCL to offer low-rate contracts, thus achieving lower rates through deceptive inducement and concealment.

C. The Amended Third-Party Complaint Adequately Alleges Each Element of a 46 U.S.C. § 41102(a) Violation

1. The ATPC Alleges that SEC is a "Person."

SEC does not challenge its personhood. It is indisputably a "person" within the meaning of 46 U.S.C. § 41102(a), which defines the term to "include corporations, companies, associations, firms, partnerships, societies, and joint stock companies, as well as individuals." 1 U.S.C. § 1. As used in 46 U.S.C. § 41102(a), the words "any person," are as broad as the words "shipper, consignor, consignee, forwarder, broker, or other person." *U.S. Lines and Gondrand Bros*, 7 F.M.C. 464, 471 (FMC 1962).⁹ OOCL alleges that SEC is a corporation "organized and existing under the laws of South Korea," and that SEC was the Shipper Party to the Service Contract, meaning SEC was a shipper under the Shipping Act. ATPC ¶¶ 4, 14. Accordingly, OOCL adequately alleges that SEC is a person.

2. The ATPC Alleges Knowing and Willful Conduct by SEC

Under the Shipping Act, a person acted "knowingly and willfully" "if the person had knowledge of the facts of the violation and intentionally violated or acted with reckless disregard, plain indifference, or purposeful, obstinate behavior akin to gross negligence." *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, FMC Dkt. No. 96-05, 29 S.R.R. 119, 164-165 (June 1, 2001); *OC International Freight, Inc.* FMC Dkt. No. 12-01, 2014 WL 5316336 at *3 (July 31, 2014). "If the scheme itself is illegal, the words, 'knowingly and willfully' . . . mean simply that the shipper's participation was with knowledge of the

⁹ Accord *OC International Freight, Inc.*, Docket No. 12-01, 2014 WL 5316336 (FMC 2014); *Unpaid Freight Charges*, 26 S.R.R. 737, 739 (FMC 1993).

benefits which would flow from the arrangement and an intent to enjoy such benefits.” *Pacific Far East Lines – Alleged Rebates to Foremost Dairies et al.*, 10 S.R.R. 1, 7 (FMC 1968). Precedent shows that inducing entry into a contract without intent to perform is knowing and willful. E.g., *Bank Line Limited v. Jet Set Marine, Inc.*, 26 S.R.R. 380 (ALJ 1992).

Here, as in *Bank Line*, the ATPC alleges that SEC, along with SEA, “knowingly and willfully” engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, by inducing OOCL to enter into a contract that SEC never intended to honor. ATPC ¶ 54. And SEC was amply aware of the substantial benefits that would flow from the lower rates and extended free time offered by the Service Contracts, and intended to (and did) enjoy them. *See, e.g.*, ATPC ¶¶ 53-61. Those allegations must be taken as true and are sufficient to plausibly allege that SEC acted “knowingly and willfully.”

Thus, SEC's half-hearted argument (Motion. at 18) that the ATPC fails to allege knowing and willful conduct because all OOCL alleges are breaches of contract is flatly inconsistent with both the caselaw and with the allegations in the ATPC of deceptive inducement and deceptive conduct during the contract term.

3. The ATPC Alleges Unjust or Unfair Devices or Means by SEC

SEC argues that the ATPC does not adequately allege an unjust or unfair device or means because it does not assert fraud and because a breach of contract cannot support a claim of fraud. Mot. at 4, 9, 16. But this is simply wrong on at least two counts. First, the caselaw, cited above and discussed below, demonstrates that an unjust or unfair device or means does not require an allegation of fraud on the ocean carrier (indeed, a shipper can violate that section even if the carrier is fully aware of the scheme), and extends to other sorts of deceptive practices. Second, OOCL asserts not a contract breach, but rather a violation of the Act made by means of false inducement to enter into and continue performing under the Service Contracts.

Commission precedent holds that deceptive practices to avoid charges constitute unjust devices or means. See, e.g., *Max LePack*, 5 F.M.B. at 440; *Global Transporte Oceanico S.A. v. Coler Ocean Independent Lines Co.*, FMC Dkt. No. 99-14, 1999 WL 1000658 (Initial Decision, October 1, 1999). That is exactly what the ATPC alleges.

Under the FMC's pleading standards, all that a complainant must plead to make a plausible allegation of an unjust or unfair device or means is "some element of falsification, deception, fraud, or concealment." *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993) (emphasis added) (quoting from *Pacific Far East Lines – Alleged Rebates*, 11 F.M.C. 357, 364 (FMC 1968), *aff'd*, 410 F.2d 237 (D.C. Cir. 1969)); see, e.g., *Rana v. Franklin*, FMC Dkt. No. 19-03, 2020 WL 2538465 at *23 (Initial Decision, May 12, 2020), *aff'd*, 2022 WL 1744905 (May 23, 2022); *Waterman Steamship Corp. v. General Foundries, Inc.*, FMC Dkt. No. 93-15, 1994 WL 279898 at *7 (1994).

The ATPC alleges two separate schemes by SEC and SEA to obtain or attempt to obtain ocean transportation at less than otherwise applicable rates and charges. First, and dating back to negotiation of the Service Contracts, SEC induced OOCL to enter into Service Contracts with lower ocean freight rates by misrepresenting its willingness to incur responsibility for delay costs caused by SEC/SEA or their CNTs. Second, SEC/SEA tried and continued trying to strongarm OOCL into waiving or refunding charges that were properly assessed by OOCL and that SEC/SEA knew they were legally obligated to pay.

Starting with the second scheme, a party's attempts to pressure another party into granting a refund by means other than a complaint may constitute an unfair device or means within the meaning of 46 U.S.C. § 41102(a). In *Hohenberg Brothers Co.*, *supra*, for example, the court, in upholding a Commission cease-and-desist order, held that an entity violated 46 U.S.C. § 41102(a) when it demanded refunds to which it was not entitled. In that case, as here, the shipper paid the charge assessed by the carrier, then demanded a partial refund. In finding an unjust device or means, the court explained its holding as follows:

"In this case, Hohenberg demanded a rebate on the basis of a claim that it knew or should have known to be false. Such action is similar in nature to "false billing," "false

classification,” etc., and under well known principles of statutory interpretation may properly be considered to fall within the comprehensive final phrase “any other unjust or unfair device or means.” *Hohenberg Brothers Co.*, 316 F.2d at 385 (emphasis added).

OOCL’s complaint against SEC is on all fours with *Hohenberg*. Here, OOCL alleges: (1) that SEC knew that the Service Contracts, to which it was bound, provided that SEC/SEA, not OOCL, would be responsible for all charges relating to delays involving the CNT chosen and controlled by SEC/SEA, unless the specific delay was due to COSCO fault; and (2) nevertheless demanded refunds to which it knew it was not entitled.¹⁰

Likewise, as to SEC/SEA’s first scheme—using concealment to obtain lower ocean freight rates than would otherwise be available, the crux of the deception by SEC/SEA does not turn on the filing of the SEA Complaint. Rather, OOCL’s claim relies on the fact that SEC induced OOCL to enter into the Service Contracts by concealment, thereby attaining fraudulent access to lower rates and other favorable terms that the Service Contracts provided, which continued throughout the terms of the Service Contracts. As detailed above, OOCL offered SEC rates lower than the otherwise applicable tariff rates available to the shipping public based on two main conditions – that: (i) SEC guarantee a certain minimum cargo volume; and (ii) SEC agree, as made crystal clear by the Service Contracts and incorporated public tariff, that SEC/SEA, not OOCL, would be legally responsible for any delay charges involving the trucker chosen and controlled by SEC/SEA, unless resulting from OOCL fault.

SEC, by negotiating the Service Contracts under those conditions, without any objection or reservation of rights, agreed to the minimum volume commitment and its own liability for delays attributable to actions by SEC/SEA, or their truckers. But SEC/SEA knowingly failed to inform OOCL – then or during the term of the Service Contracts – that they would not abide by the acceptance of liability

¹⁰ In the Commission’s Remand Order, 2025 WL 2207363, at *8, the Commission distinguished *Hohenberg* on the basis that “that case involved a shipper’s direct request to a carrier for a refund, not an FMC action filed by the shipper.” That distinction has no application to the ATPC because, just as in *Hohenberg* the ATPC alleges (and identifies) that SEC/SEA made direct demands to OOCL, and relies on those demands, not the SEA Complaint. ATPC ¶¶ 49-51, 65.

to which they had plainly agreed. Had SEC told OOCL of this carefully concealed reservation, OOCL would not have entered into the Service Contracts – requiring the Samsung entities to use OOCL’s transportation services, if at all, only pursuant to much higher tariff rates – or would have entered into service contracts only at rates much higher and other terms less favorable than those that were offered and granted. The same would have been true during the term of the Service Contracts. Had SEC/SEA announced their intention to dishonor completely their responsibility for delay fees, OOCL would have taken countermeasures, including possible termination of the contracts or the filing of a declaratory judgment proceeding, unless SEC agreed to higher rates.

The Commission has repeatedly found an unjust or unfair device or means where the shipper has induced a carrier to enter into a contract providing lower rates by concealing relevant facts. In *Unpaid Freight Charges*, for example, the Commission stated that there would be an adequate claim if the facts alleged “some kind of inducement or deceit” to obtain favorable treatment from a carrier. In re *Unpaid Freight Charges*, 9 F.M.C. 511, 520 (1966). See, e.g., *Tropical Shipping & Construction Co v. Valley Wide Produce, Inc.*, FMC Dkt No. 93-05, 1993 WL 285897 at *1 (“Tropical claims that it was induced to provide shipment on a collect basis because Valley entered into a credit agreement.... [S]uch conduct by shippers will support claims of violations of section 10(a)(1))”); *Rana v. Franklin*, FMC Dkt. No. 19-03, 2020 WL 2538465 at *3 (Initial Decision, May 12, 2020) (“There is an abundance of evidence in the record that establishes fraud and deceit by the Respondent. In February 2019, the Respondent knew or reasonably suspected that her company may close soon, but failed to disclose this material information to the complainant when they entered into an agreement”), *aff’d*, 2022 WL 1744905 (FMC May 25, 2022); *Waterman S.S. Corp v. General Foundries, Inc.*, FMC Dkt. No. 93-15, 1994 WL 279898 at *7 (FMC 1994); *Shipco Transport, Inc. v. Saturn Air Cargo*, FMC Dkt. No. 25-07, 27 S.R.R. 437, *3-4 (Initial Decision, June 2, 1995) (admin. final) (respondent NVOCC induced complainant to extend it credit and release cargo).

The Commission indicated in a nearly similar proceeding that the “unjust or unfair device or means element of section 41102(a) requires conduct that involves fraud or concealment as to a factual matter.” *SEA v. OOCL*, 2025 WL 2207363 at *5. But misrepresenting one’s intentions and acceptance of an agreement as written has been deemed sufficiently factual to constitute an unfair or unjust device or means. For example, in *Tropical Shipping*, the Commission held a violation of 46 U.S.C. § 41102(a) occurred because an ocean carrier was induced to provide shipment on a collect basis by the shipper’s entering into a credit agreement and failure to pay the full amount due. *Tropical Shipping* at *1. Likewise, in several cases, violations have been found where shippers have attained benefits by presenting, then canceling checks, thereby misrepresenting their position. *See, e.g., Waterman S.S. Corp*, 1994 WL 279898 at *7; *Shipco Transport, Inc.*, 27 S.R.R. 437 at *4; *Global Transporte Oceanico S.A. v. Coler Ocean Independent Lines Co.*, FMC Dkt. No. 99-14, 1999 WL 1000658 at *2 (Initial Decision, October 1, 1999) (Respondent presented a bad check, then made partial payment and agreed in writing to pay the balance due in installments but reneged on this written agreement).

Even if OOCL had relied on the SEA Complaint as a basis for its claim against SEC, which it did not, the Amended Third-Party Complaint would still make out a plausible claim under 46 U.S.C. § 41102(a). An unjust or unfair device or means may be found where the shipper interposes non-meritorious arguments in litigation. Multiple cases have rejected the basic assertion of the SEA Complaint that ocean carriers are *per se* liable for all delay charges incurred in connection with store door transportation, yet SEC, through SEA, continues asserting that rejected theory as the basis for virtually all its claims.

For example, in *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979), an unjust or unfair device or means was found based, in part, on the shipper’s continuous assertion of invalid defenses. And in *Bank Line Limited v. Jet Set Marine, Inc.*, FMC Dkt. No. 91-58, 26 S.R.R. 380 (ALJ Denial of Summary Judgment, May 8, 1992), the Presiding Officer recognized that assertion of erroneous defenses might constitute an unfair or unjust device or means, but found the evidence at the summary

disposition stage insufficient to render a decision. Although these cases involved non-meritorious defenses, the rationale for liability applies equally to a non-meritorious claim of violation.

4. The ATPC Alleges SEC Obtained or Attempted to Obtain Transportation at Less Than Applicable Rates or Charges

The ATPC alleges two ways by which SEC and SEA sought and/or obtained rates and/or charges lower than those otherwise applicable. First, under *Hohenberg* and other cases discussed above, the demands by SEC/SEA that OOCL refund lawful charges that SEC/SEA had promised to pay constitute an unfair and unjust means to obtain charges lower than those otherwise applicable. Accordingly, facts alleged by OOCL about SEC/SEA repeatedly attempting to coerce OOCL into refunding lawful charges are sufficient to plausibly state a claim that SEC/SEA improperly attempted to obtain charges lower than those otherwise applicable.

Second, as discussed above, OOCL alleges that SEC/SEA engaged in an extended campaign of mischaracterizing and concealing relevant facts to achieve ocean and through freight rates that they would not have obtained from OOCL had they been forthright and forthcoming at the start and throughout the term of the contracts. TPC ¶¶ 45-49. Thus, SEC/SEA both attempted to and did obtain rates below those that would have applied absent its concealment (*i.e.*, tariff rates or higher contract rates).

III. THE PRESIDING OFFICER MAY NOT IMPOSE A HIGHER STANDARD OF PLEADING

SEC's argument is almost entirely predicated on its position that claims under 46 U.S.C. § 41102(a) must be pleaded with the same degree of specificity as mandated for fraud cases in federal court by Fed. R. Civ. P 9(b). SEC does not, however, cite a single case where the Commission adopted such a pleading requirement, even though the FMC has been adjudicating cases of alleged violations of § 41102(a) and its predecessors for almost 90 years. If such a pleading requirement applied, the Commission surely would have said so in its regulations or many decisions. To the contrary, as SEC well knows, the FMC has repeatedly and steadfastly refused to apply any type of heightened pleading

requirement to any cause of action under the Shipping Act.¹¹

More importantly, the Commission has expressly and repeatedly rejected applying FRCP 9(b) to claims under § 41102(a). In 1993, the Commission proposed to amend its procedural rules to add a requirement, similar to FRCP 9(b), stating that “in all complaints alleging violations of Section 10(a)(1) of the 1984 Act [the immediate predecessor to 46 U.S.C. § 41102(a)]... the circumstances constituting such violations must be stated with particularity.” *Miscellaneous Amendments to the Rules of Practice and Procedure*, 26 S.R.R. 1053, 1053 (FMC 1993). After comments, however, the Commission concluded that no such new procedural rule regarding Section 10(a)(1) was warranted and that the liberal general notice pleading requirements of the Commission’s procedural rules should apply equally to all alleged violations of the Shipping Act, including 46 U.S.C. § 41102(a). *Id.* at 1055 (“[W]e are satisfied that a new procedural rule applicable to only to section 10(a)(1) is not needed....”)(emphasis added). This formal determination demonstrates conclusively that the rules do not contemplate heightened standards of pleading for § 41102(a) cases, and it also precludes application of 46 C.F.R. § 502.12 to import FRCP 9(b) into the Commission’s Rules unless and until the Commission itself reverses its above conclusion, because Commission Rule 12 permits importation only “to the extent that they are consistent with sound administrative practice.”

The Commission’s express decision not to require a heightened pleading standard for complaints raising claims under 46 U.S.C. § 41102(a) was reaffirmed by then-Chief Administrative Law Judge Guthridge and the Commission in *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 31 S.R.R. 1369 (ALJ Order on Motions to Dismiss), *aff’d in pertinent part*, 32 S.R.R. 126 (FMC 2011). There, Chief Judge Guthridge flatly rejected the argument that complaints

¹¹ As recognized in another proceeding brought by SEA at the behest of SEC: “SEA is correct that heightened specifics are not required....” *Samsung Elec. Am., Inc. v. HMM Co. Ltd.*, FMC Dkt No. 24-23 at *16 (ALJ Order Partially Granting Motion to Dismiss, March 24, 2025); *see also Maher Terminals, LLC v. the Port Authority of New York and New Jersey*, FMC Dkt. No. 12-02, 2015 WL 9426189 at *12-14 (Dec. 18, 2015).

alleging violations of 46 U.S.C. § 41102(a) must be pled with greater than normal particularity or otherwise subjected to heightened pleading requirements, explaining:

“Commission Rule 62 sets forth the requirements for a private complainant initiating a complaint proceeding. The Commission’s Rules do not include an equivalent to Rule 9(b) that requires a party to state with particularity the circumstances constituting fraud.... Neither [of the Respondents] cite to any Commission proceeding in which the pleading standard set out in Rule 9(b) was imposed on a complainant. As noted above, pleadings in administrative proceedings are not considered to be ‘critically important.’” 31 S.R.R. at 1384.

Chief Judge Guthridge further declared, “Where the Commission has determined that an equivalent to a federal rule is not needed (i.e., it is not consistent with the Commission’s administrative practice to require stating circumstances of Section 10(a)(1) violations with particularity), I will not hold otherwise.” *Id.* The full Commission upheld Chief Judge Guthridge, over the dissent of Commissioner Khouri, who asserted that FRCP 9(b) should apply. 32 S.R.R. 126 (FMC 2011).

SEC argues that the Commission in *SEA v. OOCL* invited reconsideration as to the standard of pleading for §41102(a) claims. But that is untrue, as the Commission deliberately refrained from reaching the issue, and specifically noted that “SEA does not dispute that ***the Mitsui majority rejected the argument that a higher standard should apply.***” 2025 WL 2207363 at *13. (emphasis added) And if any such reassessment were to be undertaken, it would need to be done by the Commission, not the Presiding Officer, and presumably by rulemaking.

Unlike securities or common-law fraud actions, Section 10(a)(1) (46 U.S.C. § 41102(a)) prohibits a broad range of "unjust or unfair devices or means," not limited to fraud; it encompasses deceptive practices without requiring scienter elements of common-law fraud (e.g., reliance, damages). *See Rana v. Franklin* 5 F.M.C.2d 7, 19-20 (FMC 2022) (interpreting § 41102(a) to cover bad faith or deceit) *OC Int’l Freight, Inc.*, FMC Dkt. No. 12-01, 2014 WL 5316336, at *4 (FMC 2014) (plausibility under 8(a) suffices for knowing/willful unfair means). SEC's cited authorities (Motion at 12-13, e.g., *Vess v. Ciba-Geigy Corp. USA*, 317 F.3d 1097 (9th Cir. 2003)) apply to claims premised

entirely on fraud, but here the ATPC alleges unjust inducement, not requiring particularized fraud averments at pleading. As held in recent FMC proceedings, such as *Samsung Electronics America, Inc. v. Orient Overseas Container Line Ltd.*, FMC Dkt. No. 24-17 (Jan. 21, 2025 Order), "A Heightened Pleading Standard is Not Required by the FMC" for § 41102(a), rejecting 9(b) where allegations provide clear notice under 8(a) and *Twombly/Iqbal* (citing *Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1351 (ALJ 2000)).

Apart from the FMC precedent precluding application of FRCP 9(b), importation of that section into the FMC pleading requirements would disserve Shipping Act policies. First, as the D.C. Circuit concluded, imposition of such a barrier would undermine the Shipping Act's remedial purpose to protect against unfair practices. *See Hohenberg Bros. Co. v. Fed. Mar. Comm'n*, 316 F.2d 381, 385 (D.C. Cir. 1963) (broad construction to prevent evasion of legal rates). Heightened pleading standards could deter smaller carriers from seeking redress, favoring large shippers like SEC and distorting market fairness, contrary to the Act's goal of equitable enforcement (46 U.S.C. § 40101). Such a standards would also be contrary to the requirement that the FMC's procedural rules be construed and applied so as to "secure the just, speedy, and inexpensive determination of every proceeding." 46 C.F.R. 502.1. If 9(b) were applied to claims under 46 U.S.C. § 41102(a), considerable time and money would be expended – by both parties – arguing over whether a particular complaint was specific enough, and more time and funds would be spent on debating amendments to such complaints. Just consider the time and money already expended in this proceeding alone.

SEC asserts that importation of FRCP 9(b) would serve to prevent frivolous claims. But it fails to cite a single case where a claim under § 41102(a) was found to be frivolous, even though the pleading standards eschewed application of 9(b). Nor has SEC ever alleged that the Third-Party Complaint is frivolous. SEC's proposal is thus a solution in search of a problem. The plausibility requirement already eliminates frivolous claims, without chilling valid complaints (*see Mitsui O.S.K. Lines Ltd. v.*

Global Link Logistics, Inc., 2011 WL 7144008, at *11 (FMC 2011)).

It is further noteworthy that the FMC is not a court of general jurisdiction. Thus, it does not have to sit in judgment of wide-ranging claims under thousands of statutes, not to mention common law claims. The Commission, by contrast, adjudicates claims only under the Shipping Act, and only under the specific, narrow ranges of provisions set forth therein or under the Commission's implementing regulations. And the FMC Commissioners and staff are not mere generalists, but experts in both the Shipping Act and the industry. They can certainly sort out frivolous claims from those with potential merit, as the Commission decided in *Unpaid Freight Charges*, 9 F.M.C. 511 (1966), when it declined to add a pleading rule similar to FRCP 9(b) for claims under 46 U.S.C. § 41102(a).

Second, erecting artificial barriers to pleading conflicts with the general policy -- expressly adopted by the FMC -- of resolving disputes on the merits. *See, e.g., Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 182 (2d Cir. 2012) (plausibility allows inferences favoring non-movant, promoting discovery over premature dismissal); *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1646 (FMC 2000) ("The Commission prefers to decide cases on their merits rather than on procedural technicalities."); *European Trade Specialists, Inc. v. Prudential-Grace Lines, Inc.*, 19 S.R.R. 59, 62 (FMC 1979) ("The Commission's policy is to decide disputes on their merits whenever possible, consistent with the public interest."); *Baxter Healthcare Corp. v. Nippon Yusen Kaisha (NYK Line)*, 21 S.R.R. 1280, 1283 (FMC 1982) ("In keeping with its policy of resolving disputes on their merits, the Commission declines to dispose of this matter on purely procedural grounds."). It would also be inconsistent with the priority the FMC Rules give to notice over particularity (46 C.F.R. § 502.62(a)(3)(iii)).

Third, a broad interpretation of § 41102(a)(1), as we have today, will better deter attempts at rate evasion, thus promoting competition. Stricter pleading requirements risk dismissing meritorious claims prematurely, contrary to OSRA 2022's enhancements for accessibility, which expand FMC

authority to investigate unfair refusals and practices without procedural hurdles. Pub. L. No. 117-146, 136 Stat. 1272 (2022). *See Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations*, 89 FR 59648 (July 23, 2024) (clarifying elements for § 41102(c) refusals, emphasizing reasonableness without heightened pleading; analogous to § 41102(a)).

In sum, the Presiding Officer should reject heightened pleading and apply the plausibility test of *Twombly/Iqbal*, as the FMC has done in analogous dockets (*e.g.*, *Samsung Electronics America, Inc. v. COSCO Shipping Lines Co., Ltd.*, FMC Dkt. No. 24-16 (Jun. 6, 2025), rejecting application of 9(b) for claims under § 41102(a).

IV. SEC’S ARGUMENTS, BASED ON THE WRONG PLEADING STANDARD, LACK MERIT.

SEC's Motion relies on an erroneous heightened standard, misapplying FRCP 9(b) and requiring fraudulent inducement, claiming the ATPC “sounds in fraud” and lacks particularity for false representations or intent (Mot. at 10-15, 19-21). But notice pleading governs, and the ATPC states plausible claims even under SEC's view, as 41102(a)(1) encompasses broader unfair practices without demanding common-law fraud elements (*see Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1351, 1360 (ALJ 2000), inferring unfair means from evasive schemes without 9(b) scrutiny).

A. The ATPC Sufficiently Alleges Wrongful Conduct by SEC.

SEC asserts that OOCL does not allege wrongful conduct by SEC. Its assertion in that regard is simply specious. The ATPC details SEC's wrongful scheme at some length, including the fraudulent inducement of OOCL to offer SEC lower rates in return for promises that SEC did not, and did not intend to, keep, a deception that it maintained throughout the terms of the Service Contracts. ATPC ¶¶ 12-30. This is wrongful under the Act. *See, e.g., Bank Line Limited v. Jet Set Marine, Inc.*, 26 S.R.R. 380, 385 (ALJ 1992) (deceptive contracting wrongful); *Cooper v. Pickett*, 137 F.3d 616, 625 (9th Cir. 1997) (deceptive representations in commercial dealings constitute wrongful conduct without

need to show actual fraud).¹²

B. SEC's Argument Regarding Breach of Contract Is Irrelevant.

SEC argues that breach of a contract does not sufficiently show intent not to perform (Mot. at 16-18). But even if that proposition were true,¹³ it is irrelevant because it mischaracterizes OOCL's claim. Although OOCL could have brought (and still might bring) a breach of contract claim against SEC in court or by arbitration under the Service Contracts, that is not at issue here.¹⁴ Rather, OOCL asserts that SEC and SEA used the fraudulent tactic of deception and concealment to *induce* OOCL to give them low rates, but, as in *Tropical Shipping, supra*,¹⁵ never intended to honor their commitments. Even apart from *Tropical*, the courts and the Commission have repeatedly concluded that intent not to perform may be inferred from actions such as refusal to perform the agreed obligations. *See Hotel Constr., Inc. v. Seagrave Corp.*, 574 F. Supp. 384, 387 (S.D.N.Y. 1983)(intent inferred from deceptive entry where promisor concealed non-intent); *Unpaid Freight Charges*, 9 F.M.C. 511, 520 (1966) ("An intent to deceive or obtain transportation at less than applicable rates may be inferred from conduct evincing an intent not to perform or to evade lawful charges."); *Mediterranean Shipping Co. v. Best Tire Recycling*, 33 S.R.R. 1232, 1240 (ALJ 2004) ("Intent may be inferred from circumstantial evidence, including a consistent refusal to honor shipping commitments or misdescription of cargo to avoid lawful rates.").

The Commission has repeatedly held that the same nucleus of facts may give rise to both breach

¹² If SEC had a real concern, the appropriate remedy would have been a Motion for a More Definite Statement, as specifically authorized by 46 C.F.R. 502.67. Further, the ATPC alleges that SEC worked together with SEA, so are joint and several violators of the Shipping Act, meaning the actions of one are equally the actions of the other.

¹³ To the contrary, *see Tropical Shipping, supra*, where breach of a credit agreement was considered as evidence of a knowing and willful unfair device or means.

¹⁴ The FMC has no authority to hear claims of breach of contract. 46 U.S.C. § 40502(f) (exclusive remedy for a breach of a service contract is an action in an appropriate court); see also, *MSC Mediterranean Shipping Co. S.A. v. FMC*, No. 24-1007, D.C. Cir. (June 24, 2025) (citing with approval *Dnb Exps. LLC v. Barsan Glob. Lojistik*, 2011 WL 7144017, at *4-5 (F.M.C. July 7, 2011) (dismissing breach of contract counterclaim where complainants "d[id] not allege a violation of the Shipping Act")).

of contract claims to be heard in court and Shipping Act violations within the Commission's jurisdiction. And the FMC is duty-bound, to hear cases where a Shipping Act violation is alleged even if the dispute might also be heard in court.¹⁶ Finally, the claim here is about a Shipping Act violation totally distinct from a contract claim. See *Asbury Square, L.L.C. v. Amoco Oil Co.*, 221 F.R.D. 497, 501 (S.D. Iowa 2004) (statutory unfair practice claims distinct from breach of contract); *MSC Mediterranean Shipping Co. S.A. v. FMC*, No. 24-1007, D.C. Cir. (June 24, 2025).

C. The ATPC Alleges False or Fraudulent Conduct that benefited SEC and SEA.

In yet another variation of its theme, SEC asserts that OOCL does not allege false or fraudulent conduct by SEC. As discussed above, however, 41102(a), extends beyond false or fraudulent conduct. The Section requires only “*some element* of falsification, deception, fraud, or concealment.” *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993) (emphasis added) (quoting from *Pacific Far East Lines – Alleged Rebates*, 11 F.M.C. 357, 364 (FMC 1968), *aff'd* 410 F.2d 237 (D.C. Cir. 1969)). The ATPC plainly meets that requirement as to SEC. See, e.g., ATPC ¶¶ 59, 66. The gravamen of this quibble by SEC is that the ATPC does not include dozens of specific details, but that is a matter for trial, not preliminary pleadings.

V. OOCL IS ENTITLED, IF NECESSARY, TO AMEND THE ATPC

Should the Presiding Officer find that if some allegations of the ATPC remain deficient, it would be necessary for the Presiding Officer to allow OOCL an opportunity to further amend its ATPC, just as SEA was allowed to amend its defective Complaint. As the Commission has explained:

Although the ALJ may in [their] discretion dismiss a [pleading] without leave to amend, the Commission typically allows liberally.... This approach is similar to that taken by federal courts, which usually allow leave to replead after granting a motion to dismiss....

¹⁶ As Chief ALJ Wirth has explained: “The Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the facts alleged may give rise to both breach of contract claims and Shipping Act claims.” *MCS Industries, Inc. v. Cosco Shipping Lines Co., Ltd.*, 2023 WL 9604492, at *13 (Initial Decision, January 13, 2023) (quoting *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006)), *aff'd*, *MCS Industries, Inc. v. MSC Mediterranean Shipping Co. S.A. & COSCO Shipping Lines Co., Ltd.*, Docket No. 21-05, Order Affirming Initial Decision on Remand (FMC July 16, 2024).

Generally, where a more carefully drafted complaint might state a claim, a plaintiff must be provided with at least one opportunity to amend before the court dismissed with prejudice.... The standards for dismissing a complaint with prejudice is high.

Maher Terminals, LLC v. PANYNJ, No. 1202, 2015 WL 9426189 at *39 (FMC 2015) (citations and internal quotation marks omitted).

In *Maher*, the Commission upheld the dismissal with prejudice of some claims, while reversing the dismissal of others, stating:

The ALJ's conclusion that amendment would be futile, however, is unsupported. The ALJ did not explain why it would be futile for Maher to amend its complaint nor find that the allegation of other facts consistent with the challenged proceeding could not possibly cure the deficiency. There is no reason to believe that, if granted leave to amend, Maher could not cure some of the complaint's deficiencies.

Id. at *40 (citation and internal quotation marks omitted).

Here, OOCL could easily cure or supplement any remaining deficiency that the Presiding Officer might identify, although OOCL reasonably believes there are none. If the Presiding Officer concludes that some of the allegations are not sufficiently clear or complete, OOCL should be given the opportunity to amend.¹⁷ This right was reaffirmed by the FMC in this proceeding, (*Remand Order*, Dkt. 66 at 20-21).

In the ATPC, OOCL has substantially revised its claim against SEC. Should the Presiding Officer nevertheless conclude that OOCL has not yet succeeded, he must, as the *Remand Order* suggests, identify any remaining insufficiencies and give OOCL a chance to correct them, unless he

¹⁷ The Commission's Administrative Law Judges have liberally allowed leave to amend pleadings. *See, e.g., D.F. Young, Inc. v. Wallenius Wilhelmsen Logistics*, FMC Dkt. No. 23-14, 2024 WL 402469 at *2 (ALJ Order Granting Leave to Amend Complaint, January 23, 2024); *CCMA LLC v. Maersk A/S*, FMC Dkt. No. 22-01, 2022 WL 458571 *2 (ALJ Order Granting Motion to Amend Complaint, February 7, 2022); *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd.*, FMC Dkt. No. 21-05, 2022 WL 458569 at *2 (ALJ Order on Motion to Amend Complaint, February 4, 2022); *Simple Forwarding, Inc. v. China United Lines Ltd. and Norton Lilly Int'l*, FMC Dkt. No. 2010(F) at *3-4 (ALJ Order granting claimant's motion for leave to amend complaint, October 4, 2024); *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, FMC Dkt. No. 24-10 at *2 (Order Granting Motion for Leave to File an Amended Complaint, October 4, 2024); *Kanu v. Ejike Dickson Eze*, FMC Dkt. No. 25-05, at *1 (Order requiring complainant to file a motion for leave to amend and proposed amended complaint, May 28, 2025).

finds one of the very limited circumstances in which a right to amend may be ignored. *Remand Order* at 21. No such circumstance can be found here that would support an order dismissing the ATPC with prejudice and thereby deny OOCL an opportunity to amend.

VI. CONCLUSION

For the foregoing reasons, SEC's Motion should be denied and the dispute between OOCL and SEC should proceed to discovery. If the Presiding Officer nevertheless finds the ATPC fails to state a claim for which the Commission may grant relief, he should not dismiss the claim but rather, as instructed by the Commission (Remand Order, Slip Op. at 20-21) under the liberal standard to which the Commission adheres, provide OOCL an opportunity to make any further amendments that may be needed.

Dated: November 4, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on this 4th day of November, 2025, a true and correct copy of the foregoing Respondent's Response to Third-Party Respondent's Motion to Dismiss Third-Party Complaint was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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Dated: November 4, 2025

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